NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- II)

C.A.(CAA)-47/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

Venkatesh Infra Projects Private Limited

... Applicant Company No. 1/
Demerged Company

WITH

Venkatesh Steel Infra Private Limited

... Applicant Company No. 2/
Resultant Company

AND

Their Respective Shareholders And Creditors

Order Delivered on 18.07.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L.N. GUPTA, HON'BLE MEMBER (T)

PRESENT

For the Applicant **:** Adv. Naresh Kumar
For the Respondent **:**

ORDER

PER: SHRI. ASHOK KUMAR BHARDWAJ, MEMBER (J)

The captioned application has been preferred under Section 230 to 232 of the Companies Act, 2013 (hereinafter referred to as **"the Act"**) read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 and other applicable provisions, jointly by **Venkatesh Infra Projects Private Limited** (**"**Applicant Company No. 1/Demerged Company**"**) and **Venkatesh Steel Infra Private Limited** (**"**Applicant Company No. 2/Resulting Company**"**) in connection with the proposed Scheme of Arrangement (hereinafter referred as **"Scheme"**) praying therein:-

a. *Dispense with the requirement of convening separate meetings of Shareholders of the Demerged Company and of the Resulting Company.*
b. *The Demerged Company and the Resulting Company does not have any Secured Creditors.*
c. *Convene separate meetings of Un-secured Creditors (excluding statutory and other dues payable) of the Demerged Company and the Resulting Company on Saturday 15th July, 2023, as per the following Schedule:*

Separate Meetings	***Time***
Un-secured Creditors – Venkatesh Infra Projects Private Limited	*2.30 p.m.*
Un-secured Creditors - Venkatesh Steel Infra Private Limited	*4.30 p.m.*

At the Registered Office of the Demerged Company, or at such other place, date and time(s) as may be fixed by this Hon'ble Tribunal.

d. *Appoint a common Chairperson and Alternate Chairperson and also the Scruitinizer to chair the aforesaid meetings and to file his/her Reports(s) before this Hon'ble Tribunal.*

e. *Fix the quorum for the meeting as per the following:*

Meetings of	*Quorum*	
	No.	*% of total value*
Un-secured Creditors - Venkatesh Infra Projects Private Limited	*20*	*15%*
Un-secured Creditors - Venkatesh Steel Infra Private Limited	*5*	*15%*

Further, if the Quorum is not present in the meetings; the meetings may be adjourned for 30 minutes and the person(s) present in the meetings may be treated the proper quorum. Or such other quorum may be fixed as this Hon'ble Tribunal may deem fit and proper.

f. *Valid proxies will be counted for the purpose of quorum.*

g. *Direct publication of the notice of the proposed meetings in Business Standard, English (Delhi Edition) and Business Standard, Hindi (Delhi Edition) Newspapers or in such other manner, as the Hon'ble Tribunal may direct.*

h. *Direct dispatch of individual notices of the proposed meetings by Speed Post/courier or through e-mail. Notice of meetings as published in the newspapers will be deemed to be the notice to all these Un-secured Creditors.*

i. *Pass such other/further order(s) as this Hon'ble Tribunal may deem fit and proper; and*

j. *Notice of the present application/the proposed meetings may be directed to be served on (a) the Central Government through the office of the* ***Regional Director****, Norther Region, Ministry of Corporate Affairs, New Delhi; (b) the* ***Registrar of Companies****, Delhi and Haryana, New Delhi; and (c) the* ***Income Tax Department****."*

2. Venkatesh Infra Projects Private Limited ("Demerged Company") having CIN U45200DL2020PTC371368 is a private limited company,

incorporated on 12.10.2020 under the Companies Act, 2013. The registered office of the Company is situated at Property No. 349, Left Side, First Floor, Near Kath Godown, Metro Station, Sutanpur, M G Road, New Delhi – 110030. The Authorised Share Capital of the Company is Rs. 10,00,000/- and its Paid-up share Capital is Rs. 10,00,000/-.

3. Venkatesh Steel Infra Private Limited ("Resulting Company") having CIN U51909DL2020PTC364693 is a private limited company incorporated on 11.06.2020 under the Companies Act, 2013. The registered office of the Company is situated at 205, Avalon Apartment, M G Road, Manglapuri, Delhi - 110030. The Authorised Share Capital of the Company is Rs. 29,00,00,000/- and its Paid-up share Capital is Rs.24,62,33,190/-.

4. The Registered office of the Applicant Companies being in Delhi, it is amenable to the territorial jurisdiction of this Bench.

5. The Applicant Companies have filed their respective Memorandum of Association and Articles of Association inter alia delineating their object clauses and are on record at Annexure A-1/1 and A-2/1 of the present application. The copy of Audited Annual Accounts and Profit and Loss Accounts along with the Auditors' Report of Applicant Companies for the Financial Year 31.03.2022 as also the Provisional Accounts for subsequent period i.e., up till 28.02.2023 are also on record.

6. As far as the present application is concerned, it can be seen from the record that the Board of Directors of the Applicant Companies vide separate meetings held on 08.04.2023 have unanimously approved the proposed 'Scheme of Arrangement' for the Demerger of 'Manufacturing Undertaking' of

Applicant Company No. 1 into Applicant Company No. 2. The Extracts of the Board Minutes have been Annexed along the Application as A- 1/5 and A-2/5, respectively.

7. The rationale of the Scheme reads thus:

a. All assets and liabilities including Income tax and all other statutory liabilities, if any, of the 'Manufacturing Undertaking' of the Demerged Company will be transferred to and vest in the Resulting Company.

b. All the employees of the 'Manufacturing Undertaking' of the Demerged Company in service on the Effective Date, if any, shall become the employees of the Resulting Company on and from such date without any break or interruption in service upon terms and conditions not less favorable than those subsisting in the 'Manufacturing Undertaking' of the Demerged Company on the said date.

c. Appointed Date for Demerger will be 1st April, 2023.

d. The Share Exchange Ratio for Demerger will be as mentioned above."

8. On perusal of Scheme, we have noted that in consideration of transfer of Demerged Undertaking of the Demerged Company into the Resulting Company, the Resulting Company shall issue and allot 295 Optionally Convertible Redeemable Preference Shares (OCRPS) of Rs. 10/- each to shareholders of Demerged Company for every 1 Equity Share of face value Rs. 10/- each held by them in the Demerged Company. The valuation exercise has also been carried out to determine the swap ratio by Mr. Subodh Kumar, Registered Valuer, IBBI Registration No. IBBI/RV/05/2019/11705. The copy of the Report on Valuation of Shares & Share Exchange Ratio has been annexed to the application at Annexure A-3. (8.1 page 53-Vol.II)

9. The Applicant Companies have also Annexed the written consent/ NOC for the proposed Scheme as given by its Equity Shareholders along with the list of Equity Shareholders as Annexure A- 1/6 and A-2/6. It is duly taken on record.

10. We have also noted that the Applicant Companies have no Secured Creditors as on the date of filling of this application and Chartered Accountants' Certificates pertaining to the same have been annexed by the Applicants as Annexure A-1/7 and A-2/7, respectively and are duly taken on record.

11. The Applicant Companies have also placed on record the Certificates from the Statutory Auditors certifying that the accounting treatment as specified in clause 9 of the draft Scheme is in compliance of the Accounting Standards and other Generally Accepted Accounting Principles (GAAP) as applicable. The certificates have been annexed with the application as Annexure A- 5.

12. It has been stated in clause 13.1 that all employees of the Demerged Undertaking of the Demerged Company in service shall become employees of the Resulting Company without any break or interruption in service and on terms and conditions as to remuneration not less favourable than those subsisting with reference to the Demerged Company.

13. It is seen from the record that this Tribunal vide its order dated 31.05.2023 had directed the Applicant Companies to file an affidavit qua: (a) disclosure of no pending investigation whatsoever; (b) that the scheme has not provided for reduction of share capital and; (c) that there is no

Debt/Capital Restructuring proposed in the Scheme. The Applicant Companies have filed the requisite affidavit.

14. The position of Shareholders and Creditors as also qua the Applicant Companies and their stand towards the proposed Scheme of Demerger can be summarised as below:

Company	No. of Share Holders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
	Page No.	*Page No.*	*Page No.*	*Page No.*	*Page No.*	*Page No.*
Demerged Company	2	*All*	Nil	*N.A.*	163	*Not Obtained*
	107	*108 to 113*	114	-	115 to 118	*Meeting to be convened*
Resulting Company	3	*All*	Nil	*N.A.*	49	*Not Obtained*
	179	*180 to 190*	191	-	192 to 195	*Meeting to be convened*

15. As per the stand taken by Applicants in the application, the Demerged Company has 163 Unsecured Creditors and the Resulting Company has a total of 49 Unsecured Creditors. It is the plea of the Applicants that separate meetings of Unsecured Creditors shall be convened to consider the proposed Scheme of Arrangement of Demerger.

16. The Applicant Companies have also placed on record affidavit in compliance of order of this Tribunal dated 16.06.2023 proposing therein to appoint a common Chairperson and Alternate Chairperson and also the

Scrutinizer to chair the abovementioned meeting and to file his/her Report(s). The details of the individuals given for the purpose reads thus:

S.No.	Name	Mobile No.	Designation	Remuneration
1.	Shri Rachit Mittal, Advocate	9873997047	Chairperson	Rs. 1,00,000/-
2.	Shri Gaurav Joshi, Advocate	9899407663	Alternate Chairperson	Rs. 75,000/-
3.	Shri Vijay Sharma, Company Secretary	9910792221	Scrutinizer	Rs. 75,000/-

17. In the wake of the pleadings and documents put forth by the Applicant Companies and the prayer made in the Company Application, it is ordered that:

I. The requirement of convening the meeting of the Equity Shareholders of Applicant Companies is dispensed with.

II. Since there are no Secured Creditors of the Applicant Companies, the question of their meeting(s) does not arise.

III. A meeting of the Unsecured Creditors of Applicant Company No. 1 shall be convened and held at the registered office of the Company i.e., Property No. 349, Left Side, First Floor, Near Kath Godown, Metro Station, Sutanpur, M G Road, New Delhi – 110030 on 19.08.2023, Saturday at 2:30 p.m. A notice regarding the meeting to be held shall also be published in two leading newspapers i.e., Business Standard, English (Delhi Edition) and Business Standard, Hindi (Delhi Edition).

IV. A meeting of the Unsecured Creditors of Applicant Company No. 2 shall be convened and held at the registered office of the Applicant Company No. 1 i.e., Property No. 349, Left Side, First Floor, Near Kath Godown, Metro Station, Sutanpur, M G Road, New Delhi – 110030 on 19.08.2023, Saturday at 4:30 p.m. A notice regarding the meeting to be held shall also be published in

two leading newspapers i.e., Business Standard, English (Delhi Edition) and Business Standard, Hindi (Delhi Edition).

V. The Applicants shall ensure that the individual Unsecured Creditors are given due notice of meeting within one week from today.

VI. The quorum for the meeting is fixed as per the following:

Meetings of	Quorum	
	No.	Subject to minimum % of total value
Un-secured Creditors - Venkatesh Infra Projects Private Limited	16	75%
Un-secured Creditors - Venkatesh Steel Infra Private Limited	5	75%

Further, if the Quorum is not present in the meetings, the meetings may be adjourned for one week and the person(s) present in the meetings would be treated as the requisite quorum.

VII. Notice qua this application shall also be served on the following:

i. the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi;
ii. the Registrar of Companies, Delhi and Haryana, New Delhi;
iii. the Income Tax Department;
iv. Official Liquidator qua the Applicant No. 1

VIII. On completion of the exercise as above, the Applicant Companies shall be entitled to move an application for approval of the proposed Scheme, before this Tribunal. With 2nd Motion application the Applicant Companies shall specifically enclose an affidavit in terms of the provisions of Section 230(2)(c) of Companies Act, 2013.

IX. The meeting shall be chaired by Mr. Rachit Mittal, Advocate and Mr. Vijay Sharma, Company Secretary shall act as scruitinizer. The Chairperson shall file the minutes/report qua the meetings before this Tribunal within statutory time limit.

18. The Court Officer/Registry is directed to send a copy of this order to the Applicant Companies for necessary steps to be taken at their end. A copy of this order be also sent to the concerned Registrar of Companies.

19. **The Application is disposed of in the aforesaid terms.**

Sd/-

(L.N. GUPTA)
MEMBER (T)

Sd/-

(ASHOK KUMAR BHARDWAJ)
MEMBER (J)